FIGURE 5-2
BOND RATINGS

	S&P	Moody's	Description
Investment grade	AAA	Aaa	Highest quality
	AA	Aa	High quality
	A	A	Good quality
	BBB	Baa	Medium quality
High-yield (junk bonds)	BB	Ba	Risky elements
	B	B	Risky
	CCC	Caa	Riskier
	CC	Ca	Highly risky
	C	C	Extremely poor prospects
	D	—	In default

Sources: Standard & Poor's, Moody's, and Investment Company Institute

If times are bad and you're nervous, you can keep all further savings in money funds or bank accounts. If you're willing to take more risk for a shot at higher returns, you can consider stock funds and bond funds.

Unfortunately, there's little agreement even among experts on how much you should risk on the stock market. Historically, a fairly typical recommendation has been to allocate roughly 50% of your assets to stock funds and 30% to bond funds, while keeping 20% in "cash"—meaning money market funds or bank savings accounts. Some financial advisors have said over the years that young people should put even more of their assets—say 80% to 90%—in stock funds, since they have much more time to ride out the downturns of the stock market. But others (including Paul Samuelson, winner of the Nobel Prize in economics) have questioned whether it really makes sense to allocate your assets based on your age.

INFLATION-PROTECTED BONDS

If you want to own bonds as an investment, but can't meet the minimum requirements for any of the funds I've mentioned, there are still alternatives. You should consider **Series I** savings bonds, or **I Bonds,** a little-known type of savings bond issued and sold by the U.S. Treasury. They're different from the old-fashioned savings bonds that your parents knew about because they have built-in protection against the negative effects of inflation. As of this